

How does Steam VR double growth within 5 years?

Steam VR

Company description

Steam VR is a virtual reality (VR) platform developed and operated by Valve Corporation, the prominent American video game developer and digital distribution company. The company is widely recognized for creating Steam, a leading digital distribution platform for PC gaming. Steam VR, currently being a part of the broader Steam platform, is striving to gain an edge in the burgeoning VR gaming market.

Valve first introduced the Virtual Reality Developer Platform in 2015. Although the company subsequently launched their own headset devices in 2016 and 2019, it still has established collaborative relationships with other headset manufacturers like Oculus, enabling its use across various hardware setups.

Revenue model

SteamVR's revenue model primarily revolves around the sale of virtual reality games, applications, and experiences on the Steam platform. Valve, the company behind Steam, typically earns revenue through a revenue-sharing model, where they take a percentage of the sales made by developers and publishers on the platform.

Additionally, they may generate income through the sale of their own hardware, such as the Valve Index VR headset, and any associated accessories.

The platform may also offer subscription services, in-app purchases, and advertisements as additional sources of revenue.

Steam VR

Customer segments & value proposition

- Gamers
  - **Access to VR games and communities**: Users can reach various genres of games on Steam VR which provides a variety of features for user interaction, including voice chat, multiplayer gaming, and community functions.
  - **Hardware compatibility**: Steam VR supports multiple VR headset devices, which saves multi-homing costs for users.
- Developers
  - **Access to a large user base**: SteamVR has a large user base migrating from Steam.
  - **Convenient publishing and promotion**: Steam VR helps developers attract more players through community engagement, participation in events, and game promotions. It also provides technical support and resources.

Customer interaction & network effects

Same-side effect

- **For gamers**, there is a strong **positive** network effect, as socializing and gaming together with other players, as well as user-generated community content and reviews, can attract additional users to the platform
- **For developers**, there is a very subtle **negative** network effect here, as it may intensify market competition. However, games often employ a strategy of differentiation to mitigate the impact.

Cross-side effect

- **For both sides**, there is a **positive** network effect. As the user base grows, it attracts more publishers to showcase their VR content, providing a diverse selection of games and applications. Simultaneously, as more high-quality and engaging content becomes available, it entices a larger user base to explore and interact with the platform.

Build an active user community to douth growth!

Situation

SteamVR continues to dominate the VR gaming market, primarily due to its large user base and the strong reputation it has built through the success of Steam. Additionally, Valve's headset holds a significant market share (17.24% for SteamVR). With a substantial collection of 7,111 VR games available on the platform, it surpasses SideQuest's 4,085 and Oculus' 1,332, solidifying its position as a leading VR platform.

Complication

Despite its increasing popularity among gamers, the current VR device ownership rate remains relatively low, with only 2.07% of users possessing the equipment. Valve's hardware market share itself is not significant, while Oculus holds over 60% of the market share. Although the VR gaming industry is in its nascent stage, market competition is intense, with Nintendo, Sony, and Meta all attempting to establish their own VR platforms and seize market share.

Question

How can Steam VR double growth within 5 years?

Answer

Steam VR should try to create an active user community to generate positive network effects, bring user-driven innovation and expand marketing reach.A user community enables gamers to socialize, anchoring their social relationships within the platform to retain users and provide added value. Moreover, an active user community spreads Steam VR to social media, increasing exposure among non-gamers and enhancing the VR experience's visibility.

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Building an active user community has 3 main advantages

1

Positive Network effects

It generates positive network effects by creating the value of Steam VR for both gamers and publishers. Gamers have a place to communicate, socialize and make comments while publishers get quick access to their costumers.

2

User-Driven Innovation

A vibrant user community often generates valuable insights and innovative ideas, serving as a source of inspiration for new features and improvements, which can drive continuous innovation within the platform.

3

Amplified Marketing Reach:

A thriving user community serves as a powerful marketing tool, as satisfied users are more inclined to share their positive experiences, thereby expanding Steam VR's reach and attracting new users to the platform.

By creating an active user community we capture two types of positive network effects

GAMERS

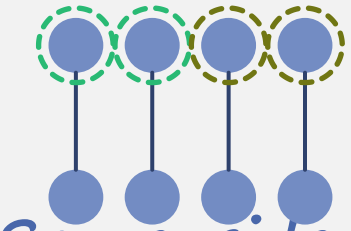
- They’re searching for **game partners** who they can share experience, knowledge and skills with.
- Some of them who don’t have headset **wish to know more**.



DEVELOPERS

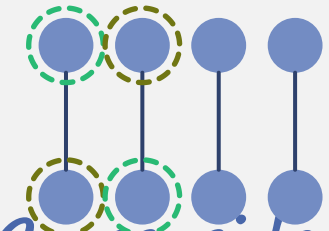
- They’re searching for **costumers** who purchase their games, give feedback and sometimes add inplemental content to game.
- **1/3** of VR games are multiplayer games.

By creating an active user community we capture two types of positive network effects



Same-sided effects

User communities can help users better match suitable gaming partners. Other users' reviews and comments are also crucial for their consumption decisions.



Cross-sided effects

The increase in users will encourage more publishers to choose Steam VR for releasing their games. It also enables Steam VR to gain access to valuable sales data, which is even more attractive for publishers.

WE COULD SEE A STRONG POSITIVE NETWORK EFFECT!

Gamers are always the innovators!

A community can bring us abundant user-generated creativity



Look how much they created:

Over 65000 mods for GTA3!

10000 for Minecraft
1742657 addons for Garry's mod
326022 addons for Cities: Skylines

The Workshop and community have always been crucial features of the Steam platform. Users not only exchange their experiences but also **create supplementary game content** beyond the game itself, greatly enriching the overall gaming experience.

We grab the future of UGC ecosystem!

Co-create network?

We are witnessing the steady development of **MMOGs (Massively Multiplayer Online Games) in VR**, moving towards a future of user-generated gaming, perhaps best described as a decentralized creative network.

UGC in VR games can drive sales, increase user retention, and extend playtime for the main game. Some games have already benefited from the ongoing operation of the UGC ecosystem, such as "Bonelab" and "Contractors."



In the game "VRChat" alone,
players have created over **25,000** rooms!

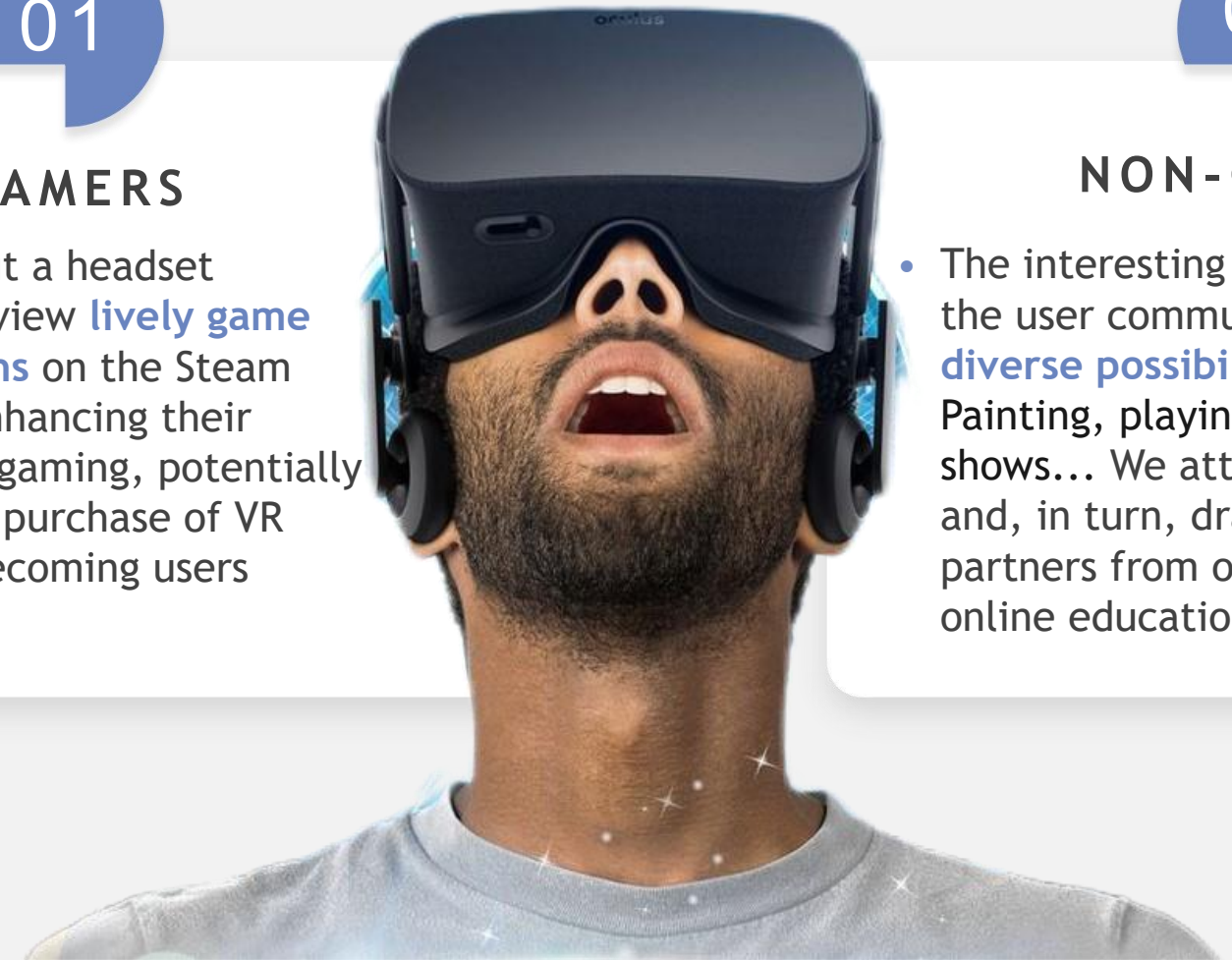
Reach larger market through a lively community!

Who we attract and why?

01

GAMERS

- Players without a headset currently can view **lively game demonstrations** on the Steam community, enhancing their interest in VR gaming, potentially leading to the purchase of VR devices and becoming users themselves.



02

NON-GAMERS

- The interesting content produced by the user community shows **the diverse possibilities of VR devices.** Painting, playing music, VR live shows... We attract mainstream users and, in turn, draw the attention of partners from other domains, such as online educational institutions.

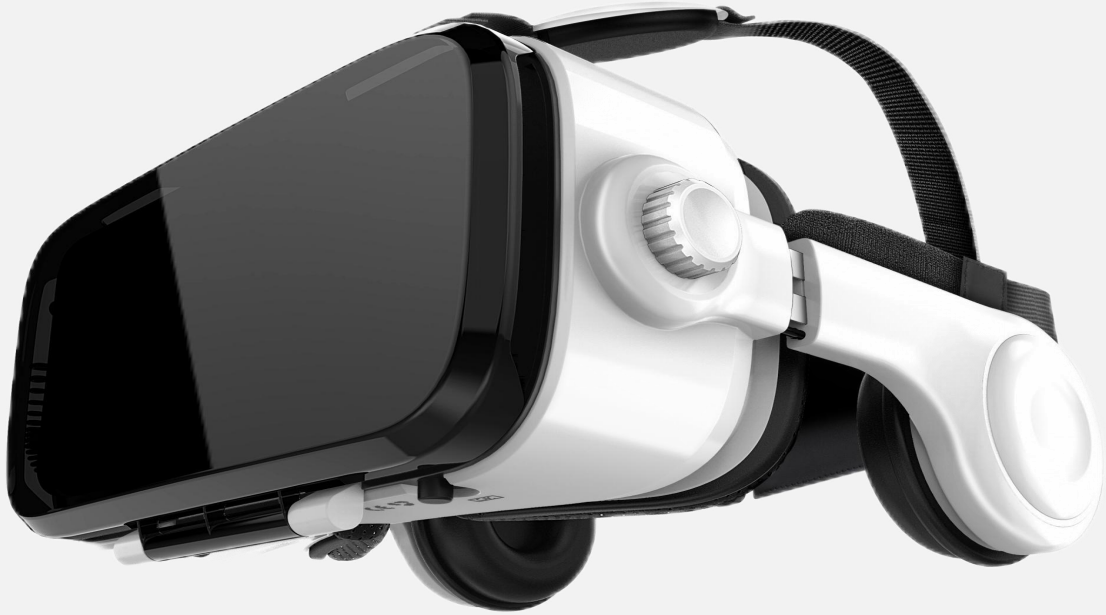
Breaking Boundaries: A Revelation for Non-Gamers!

VR as a brand new lifestyle

Paitings? Music? Or...?

VR painting and music creation are early VR developments. Notable tools include Tilt Brush (2016) for painting and Electronauts for music. Besides, VR live streaming and video software also emerged...VR has infinite possibilities!

These applications are more **gamified** compared to non-VR scenarios, which means, we can attract music players, painters, sculptors...and any other!



We recommend 3 immediate next steps for Steam VR to build an active user community

1

Unique VR Experience - Steam VR Home!

Make it smooth for users to play together and socialize through developing developing social interactions suitable for the VR world, initially starting with voice chat (due to the inconvenience of typing), gradually evolving into Steam's metaverse social interaction with virtual avatars, and other methods.

2

Steam VR Workshop

Encourage user generated content creation through Steam VR workshop. It can serve as a collaborative hub for sharing and creating diverse VR content, fostering an open environment for developers and enthusiasts.

3

Encourage sharing on Social media

Encourage users to share their experiences on social media platforms and increase online presence and engage with a broader audience. More potential users will be attracted through social media which may finally expand VR application scenarios to entartainment, sports, education or other fields.

Steam VR: VR community of infinite possibilities

4.27 biliion DAU, 7111 VR games - the current dominating VR platform

Problem and Our Solution

Imagine Mark, a player who, to experience VR, needs to download softwares from various platforms. Nevertheless, he takes the risk of losing these game resources if switch to another brand of headset. Furthermore, he has no friends to play with due to limitied social functions...
We offer a platform that integrates game resources and aids in finding friends for him.

How Can We Made that?

Steam VR home: We plan to create a Steam VR home for users, where they and their friends can socialize in a virtual space as freely as they would in a real space, using virtual avatars instead of traditional typing.
Steam VR workshop: Want your creativity to be seen by others? Or looking to add some unofficial fun elements to your VR game? We have Steam VR Workshop for you, where you can freely create whatever you want in a VR zone!
VR Inspiration Project: Breaking boundaries, from VR to the real world! We will organize a series of events, to encourage users to share their fantastic VR creations on social media. We will also host VR publisher exhibitions to invite more people to step into the VR world.

Wait...Who are we?

We are **Valve Corporation**, founded by Gabe Logan Newell and Mike Harrington in 1996, with nearly 20 years of history in the gaming industry. We have published renowned games such as "Half-Life." Additionally, we have developed hardware devices such as Valve Index and Steam Deck. Steam, launched in 2003, is currently the world's leading digital distribution platform.
In 2016, we launched Steam VR and aim to maintain our leading position in VR market, the future of gaming industry through our accumulated user base and extensive partnerships with developers.

Look at the Growth We've Made!

1.8B$ VR game revenue 2022

1.8M Additional Players 2021

127M VR Conversations 2021

What will the future be like?

We expect **2.5B$** VR game revenue in 2023, and keeping a increase of over 1.2B for each year. In 2027, we expect to reach **10B$** in VR gaming market.

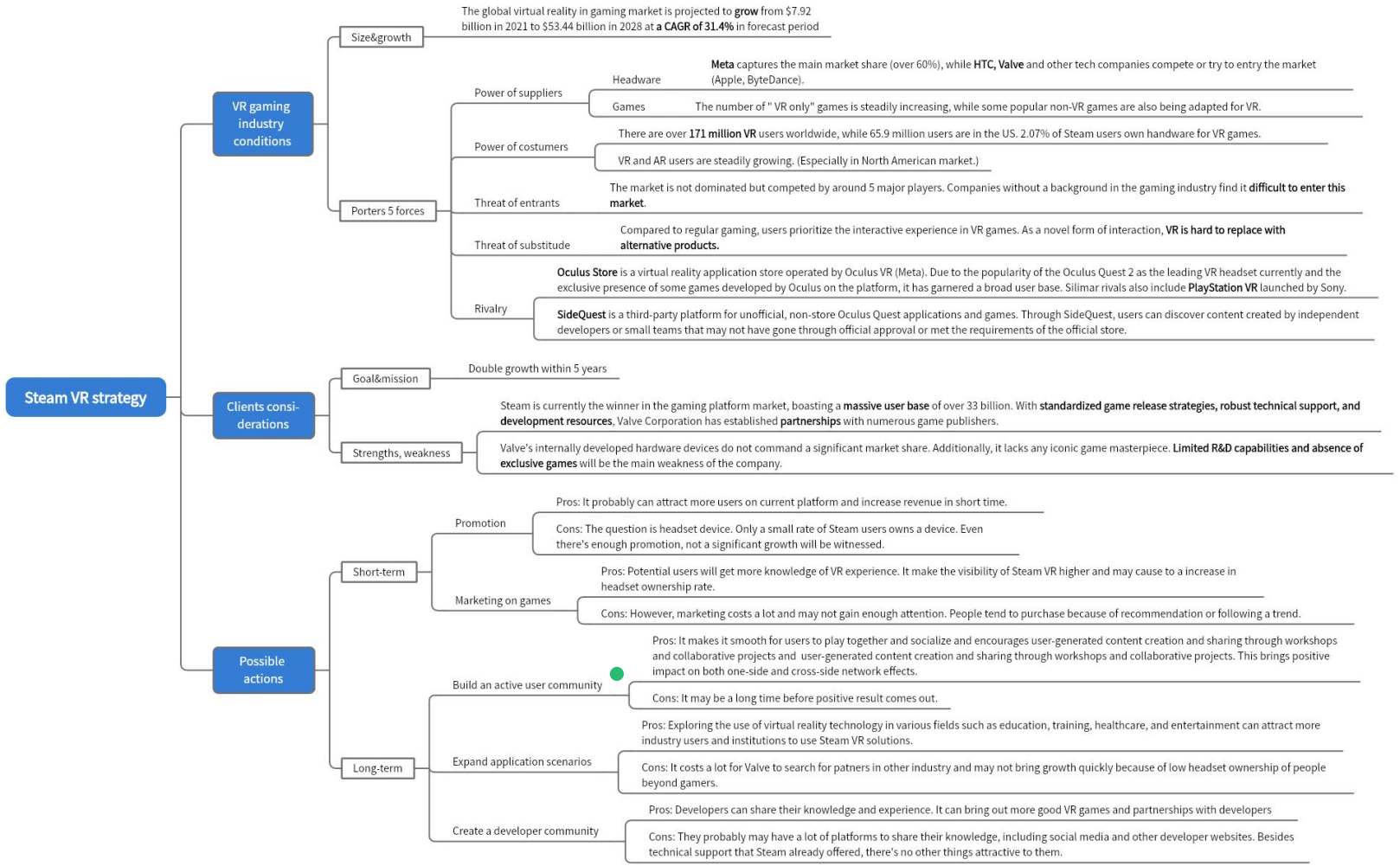
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to make it come true

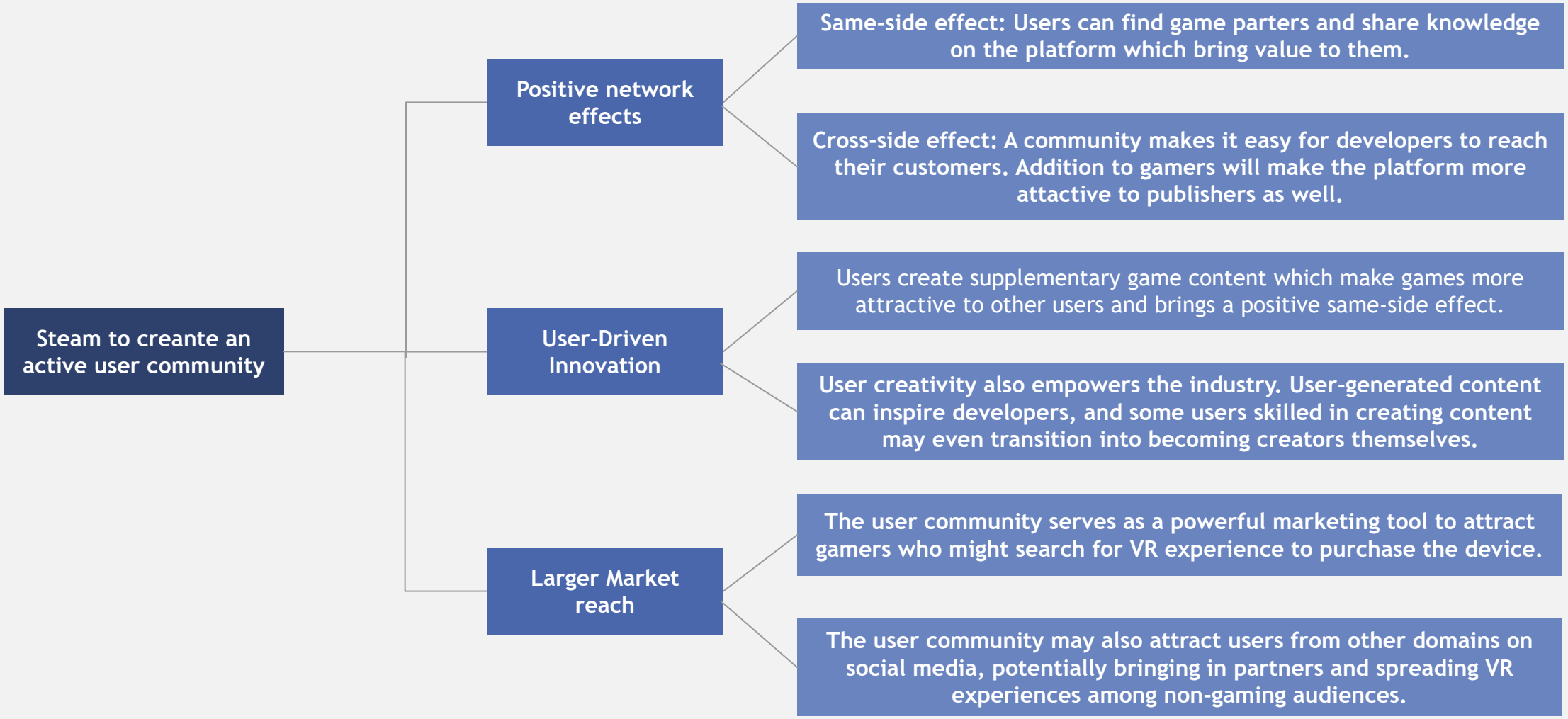
We use this for promotion and marketing, developing functions of Steam VR system, searching for partnerships and increasing visualibility of VR device on social media.



Appendix: Pyramid structure 1 (solving the question)



Appendix: Pyramid structure 2 (communicating findings)



Reflection: crucial decisions and reasons for them

- **In early stage**: I did a lot of research to take a deeper look into the industry and see if it's possible for steam VR to double growth in 5 years. **It's possible because a steady growth in both gaming market and hardware market**. I also see some **one feature of VR gaming**: it's heading for UGC platform. VR games don't necessarily need to prepare as much game content as games used to offer. Sometimes it's more important to offer tools for users to create their VR home. **But there's also one key problem:** only a small percentage of gamers own a device, most of whom are in North America. That's the complication Steam VR need to handle. However, Valve spent a lot on publishing Steam Deck. It's not suitable for them to develop any device within short time, nor develop VR games.
- **Stage of report writing:** I focus on developing detailed strategies Steam VR could apply. I mainly come up with new ideas through 2 ways: **one is to search for news in the industry** and see what other competitors are doing, if there's anything we can learn from. **The other is to ask Chatgpt**. It works well when you need some rough structure or several directions to work on. Sometimes it also offer helpful information of the industry. However, it's not good at making real content and giving details.
- Besides, I also use Chatgpt to make my language more smooth and translate paragraphs. It somehow works better than any other translation applications.

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